

KEN SMITH

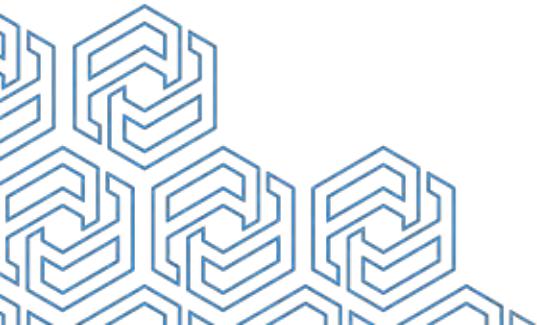
**Powerful Concepts Made Stronger
with Risk Mitigation For Your
Clients**



Powerful Concepts Made Stronger with Risk Mitigation **For Your Clients**

Advanced strategies that go far beyond the standard policy

Who is Assurance Ally



The IMO Built for the VFO Model

- **70+ carrier relationships.** Solution- agnostic
- **50+ advanced planning strategies** beyond traditional IMO services, uncovered by our proprietary tool, the Client Navigation Questionnaire
- **10+ years operating in the VFO model**
- **Advanced case design team** + in-house underwriter
- **Dedicated Advisor Success Manager**
- **ERT membership can be reimbursed** through production milestones

Rothish **Premium Financing**

The Dentist with a \$1.4M Practice

Client

Male Dentist

Age: 45

Practice Value: \$1.4M

Wife is not a dentist

Concerns

Premature death = \$0
practice value

No retirement plan in
place

Wife cannot operate the
practice

Solution

Insure the dentist for
\$1.4M

Premium Financing:
policy as collateral

Tax-free income stream +
death benefit

The Premium Financing Structure

1

Years 1-2

Direct Pay

Dentist pays \$50k/yr out-of-pocket – First 2 years funded directly to carrier.

2

Years 3-10

Premium Finance

Policy acts as collateral. Dentist continues to pay \$50k/year OOP, and a lender finances the remaining \$140,581 annual premiums. Interest on the premium financing loan is accrued.

3

Year 11

Pay Off Loan

Loan is retired in year 11 using policy values. Policy is fully funded – \$1,624,647 total contributed by both client and bank.

4

Years 11-20

Growth Phase

Policy accumulates tax-deferred. No distributions yet – value compounds.

5

Years 21+

Tax-Free Income

Beginning at age 65, dentist draws \$150k/yr tax-free for 20 years to age 85.

What the Life Insurance Policy Delivers

\$150,000

Annual Tax Free Income (Ages 65-85)

\$3,005,841

Total Tax Free Income Received

\$941,180

Residual Death Benefit at Age 85

Life Insurance vs. Brokerage Account

Life Insurance

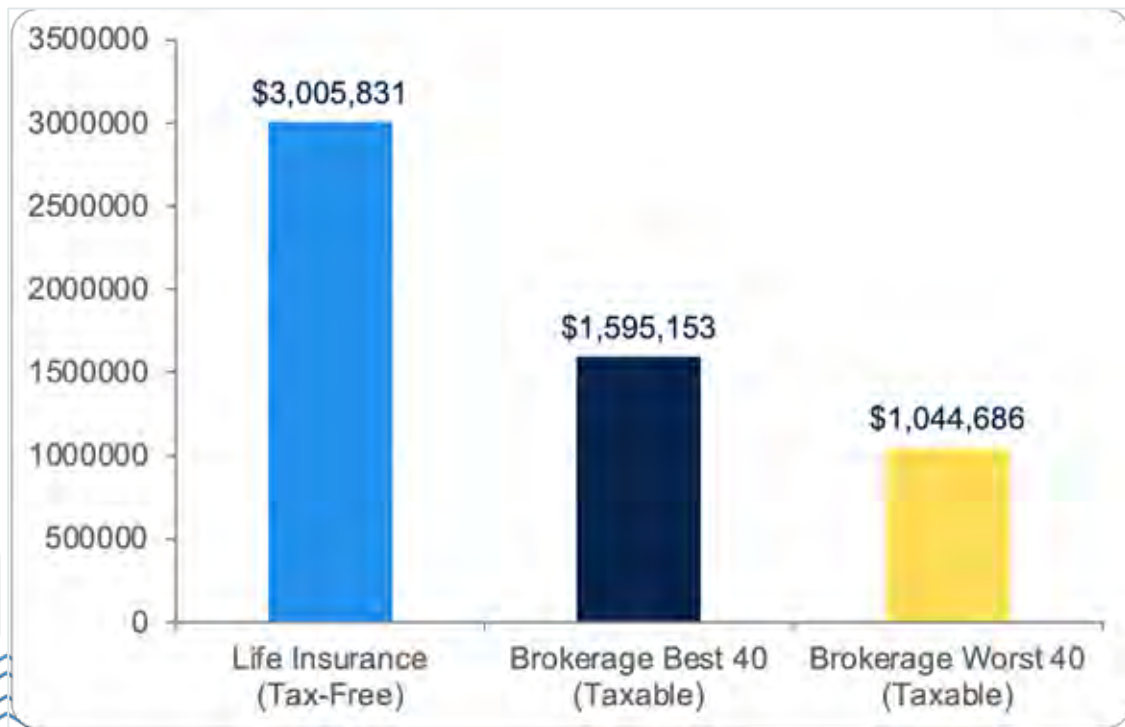
- Client contributes \$50k/year x 10 years (\$500k total)
- Years 3-10 premium-financed
- \$150k/yr tax-free, ages 65-85
- \$941,180 residual net DB at age 85
- Total: \$3,005,831 tax-free

Taxable Brokerage

- 70% S&P 500 / 30% Bonds
- 37% tax drag + 1% advisor fee
- Cannot be premium-financed
- 121 historical 40-yr cycles analyzed
- Best 40 and Worst 40 Examined

TOTAL INCOME COMPARISON

What You Actually Receive Over 20 Years



THE GAP

Life Insurance vs. Best 40

+\$1,410,678
more income

Life Insurance vs. Worst 40

+\$1,961,145
more income

All life insurance income is tax-free. All brokerage income is taxable at 37% and includes a 1% advisor fee. The results are based on certain hypothetical assumptions.

WHY THIS MATTERS

There is No Comparison.

Self-Completing Plan

Premature death triggers the \$1.4M benefit. The plan works whether he lives or dies.

\$3M Tax-Free vs. \$1M Taxable

Brokerage runs dry in 5-6 years. Life insurance delivers 20 full years of income.

Premium Financing

Client pays 10 years out of pocket. A bank finances additional premiums in years 3-10.

\$941k Still Standing

After 20 years of \$150k distributions, a \$941,180 death benefit remains for heirs.

The brokerage account, even in its best historical 40-year period, cannot sustain \$150,000/yr beyond year 6. The life insurance policy delivers every dollar, tax-free, for 20 years — with nearly \$1M left over. Life insurance results assume a gross index return of 6.81%. Premium financed loan assumes a 5.20% borrowing rate. For full disclosure of policy assumptions, see the full carrier illustration. The information in this PowerPoint is based on a hypothetical model only.

Advanced Planning **VFO Case Study**

Personal Goodwill, Tax Elimination & Bond-Funded Life Insurance

CLIENT PROFILE

Physician Selling a \$40M Medical Practice Group

Business Value

\$40,000,000

Enterprise value of
practice group

Personal Goodwill Value

\$6,308,000

Nominal cost basis

Tax Exposure Without Planning

50.1% / 37.1%

Income/ LTCC
State + Federal

Estate Tax Rate: 40%

Without proper planning, the combined tax burden on business sale, personal goodwill, and estate transfer would consume the majority of a \$40M+ event.

OBJECTIVES

Four Goals Driving This Strategy

Sell the Practice

Market and sell the Sellers Business and Personal Goodwill – maximizing net proceeds.

Create Lifetime Income

Generate a passive, tax-free income stream for life for both the physician and spouse.

Eliminate Tax Drag

Substantially reduce income taxes and capital gains taxes on the sale of Personal Goodwill and the Seller Entities.

Build a Family Legacy Fund

Establish a funded Donor Advised Fund to children can continue the family's philanthropic mission.

The Preferred Pooled Income Fund Structure

1

Pre-Closing Contribution

Contribute Personal Goodwill (\$6.3M) to the Preferred LLC before the practice closes.

2

Donate to Charitable PIF

Donate the Preferred Membership Interest to the Charitable Pooled Income Fund (PIF).

3

Eliminate Capital Gains

Partnership tax law allocates profits – substantially eliminating capital gains on Personal Goodwill.

4

Generate Tax Deduction

Donation produces a significant charitable tax deduction – offsetting income and capital gains.

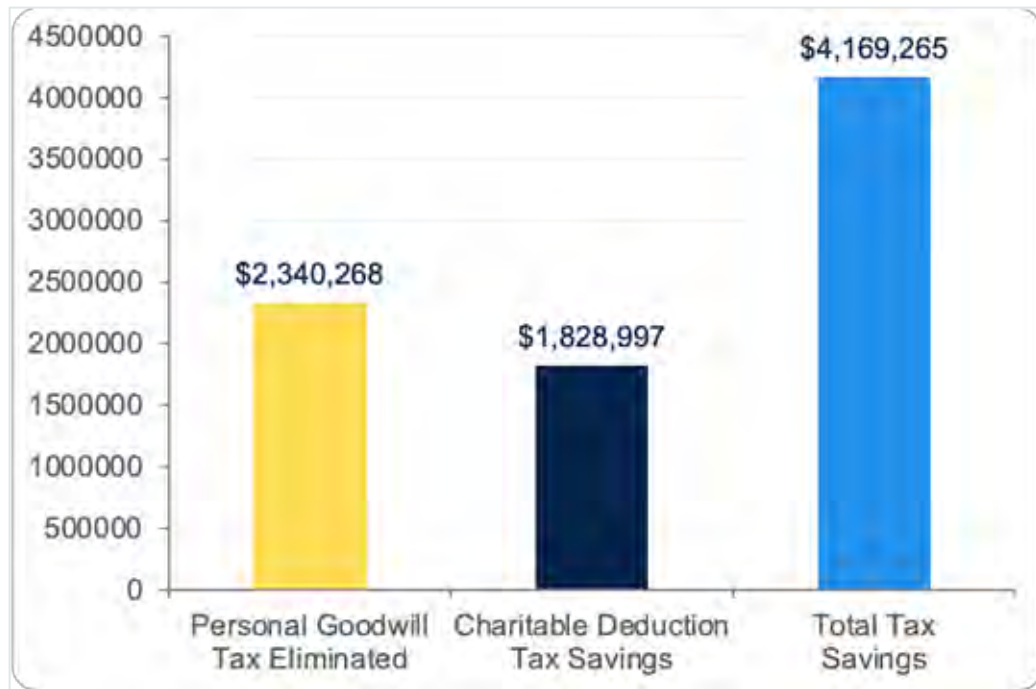
5

Invest & Distribute

Preferred LLC invests post-sale proceeds. Physician and spouse receive a tax-free income stream for life.

TAX RESULTS

\$4.2M in Tax Savings – Dollars That Stay in the Family



TAX BREAKDOWN

Planning Capital \$6,308,000

PG Tax Eliminated \$2,340,268

Charitable Ded
\$1,828,997

Tax Savings

Total Tax Saved

\$4,169,265

THE LIFE INSURANCE COMPONENT

\$20M Bond-Funded IUL – No OOP Premium

IMMEDIATE DEATH BENEFIT

\$21,601,149

Tax-free from Day 1
Family protected
immediately

POLICY FUNDING

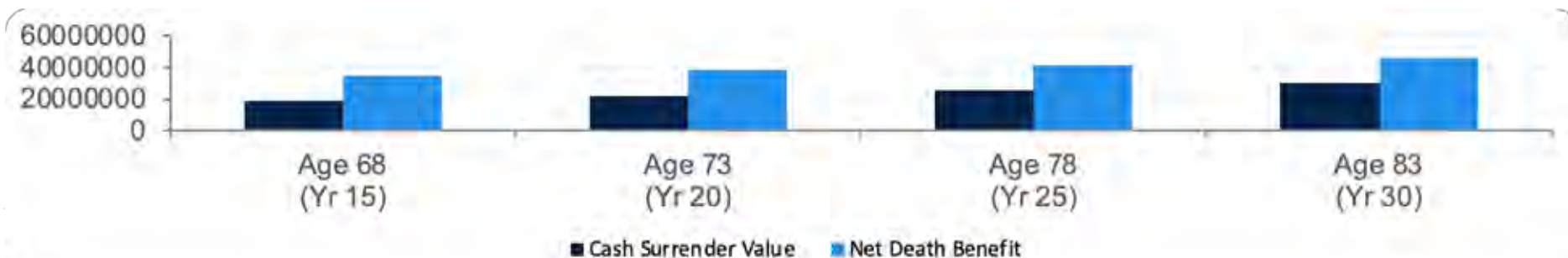
\$1,706,799

Annual premium
funded via bond
offering

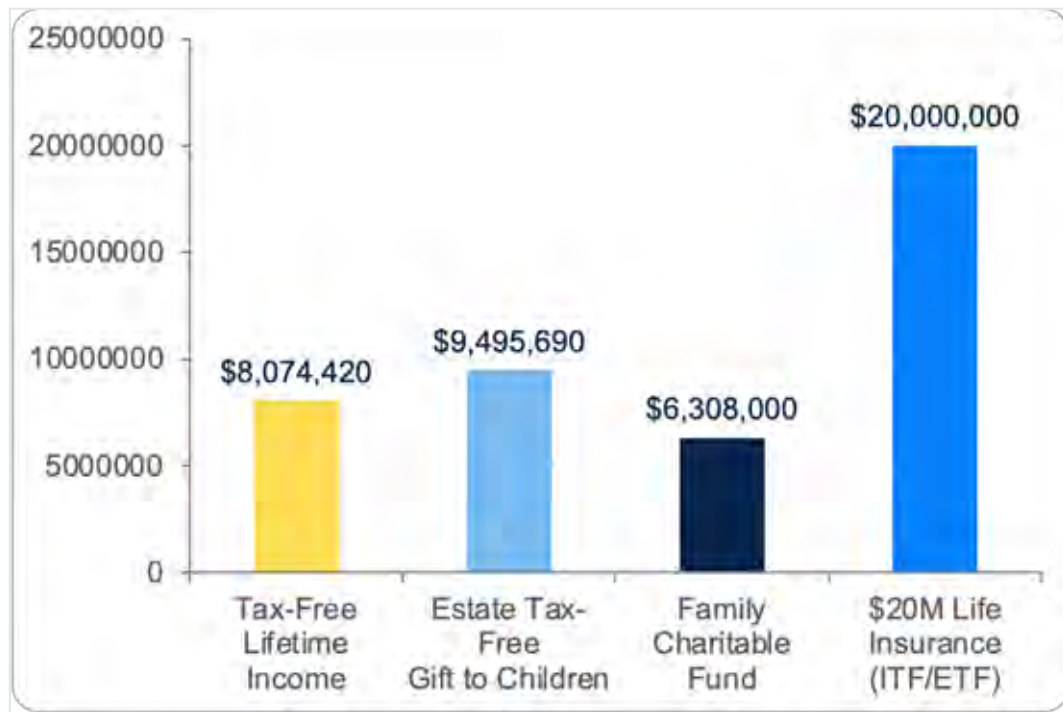
COLLATERAL REQUIRED

\$5,819,502

No out-of-pocket cost
Client provides
collateral only



What the Family Actually Keeps



TOTAL FAMILY VALUE

Lifetime Years (33.6) \$8,074,420

Estate Gift To Children \$9,495,690

Family Charitable Fund \$6,308,000

Life Insurance (Income & Estate TF)

\$20,000,000

Advanced Planning Changes Everything

\$4.2M in Tax Eliminated

Personal Goodwill and charitable deductions nearly wipe out of the entire tax bill on the sale.

\$20M – Zero Tax to Children

The bond-funded IUL delivers \$20M income and estate tax-free – with no out-of-pocket premiums.

\$240k/yr – Tax-Free for Life

Physician and spouse receive a lifetime income stream from the Charitable Pooled Income Fund.

\$6.3M Charitable Legacy

Children receive a funded Donor Advised Fund to carry the family's philanthropic mission forward.

Modern **Qualified Plans**

A Compelling Strategy for Business Owners

Business-Owning Couple - The Plan

Owner

Age 60

Max Project Comp: **\$350,000**
After-Tax/Roth: **\$49,000**
Profit Sharing: **\$21,000**
Def. Cont. Total: **\$70,000**

Spouse

Age 55

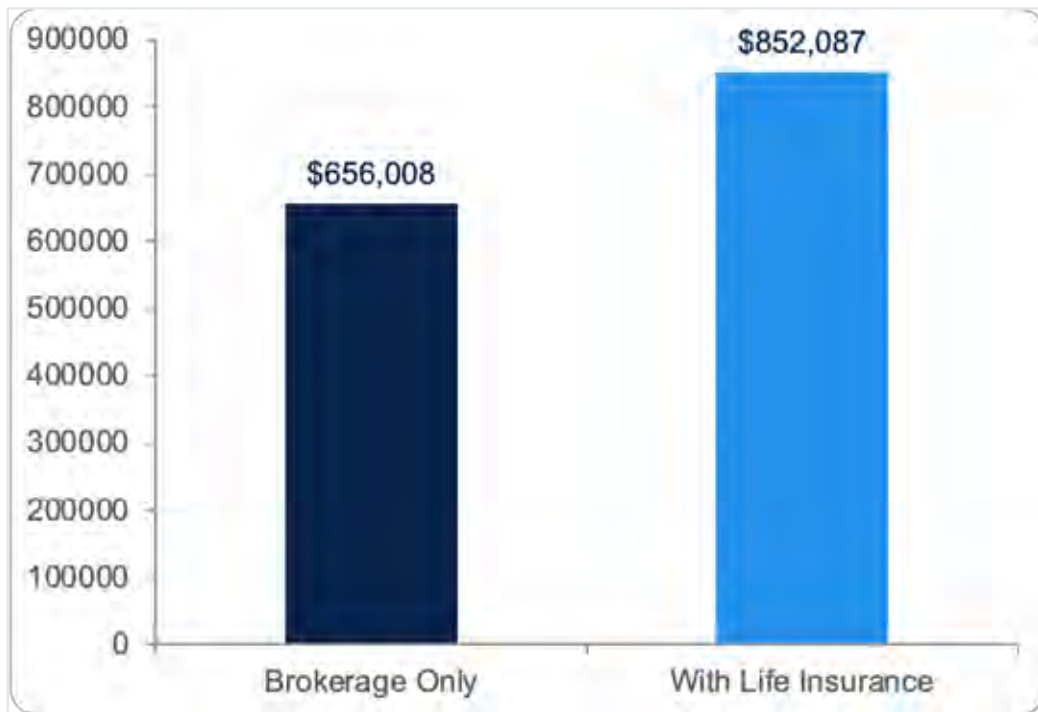
Max Project Comp: **\$350,000**
After-Tax/Roth: **\$49,000**
Profit Sharing: **\$21,000**
Def. Cont. Total: **\$70,000**

Combined Compensation

\$700,000
per year

Both spouses are Highly Compensated Employees (HCEs) - each contributing \$350,000 to maximize plan deferrals

\$196,000 More Deferred – Same Income



ADDITIONAL ANNUAL
DEFERRAL

\$196,079

Total Deductible Contribution

Option 1: \$656,008

Option 2 \$852,087

Non Deductible Roth \$49,000

With the same \$350,000 in income, adding investment-grade life insurance allows an extra \$196,000 per year in tax-deferred contributions

Buying Out Life Insurance at a 45% Discount

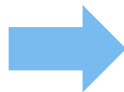
Paid In (5 Years)

\$212,000

per year x 5 years

= \$1,060,000 total

funded into life insurance within the plan



Year 5
Buy-Out

Buy-Out Price

\$554,000

A 45% discount on what was paid in

Policy moves to personal ownership
ILIT, or SLAT after year 5

KEY INSIGHT:

You paid \$1,060,000 and you buy it out for \$554,000 – a discounted exit – and the life insurance policy now works for you personally, outside the plan, for the rest of your life.

THE CORE QUESTION

Brokerage Only vs. Brokerage + Life Insurance for One plan

Brokerage Only

- Standard qualified plan deductions only
- Retirement income from tax-deferred account
- Projected balance ~\$3.8M
- After taxes: ~\$2.0–\$2.5M actual value

vs

With Life Insurance

- Defer an additional \$196,000/year
- Same \$350,000 income — more deferred
- Retirement income PLUS tax-free death benefit
- Life insurance exits plan in Year 5

THE LIFE INSURANCE ADVANTAGE

Tax-Free Retirement Income + Death Benefit

**Annual Tax-Free
Retirement Income**

\$130,921

Ages 70-95
(25 years)

**Residual Death
Benefit at Age 95**

\$1,103,347

Still working
for your family

**Tax-Free
Death Benefit**

\$4,507,293

6.35% illustrated
conservatively

Total Value Generated:

$\$130,000/\text{yr} \times 25 \text{ yrs} + \$1,103,347 \text{ residual DB} = \$4,353,347 \text{ in income} + \text{death benefit protection of } \$4,507,293$

THE REAL COMPARISON

After-Tax Reality: What You Actually Keep

BROKERAGE ONLY

Projected Balance

~\$3,800,000

After Paying Taxes

\$2.0M - \$2.5M

To match Life Insurance performance, you would need:

16.37% annually until age 96

WITH LIFE INSURANCE

Tax-Free Income (Ages 70-95)

\$130,000/year

Tax-free Death Benefit

\$4,507,293

No taxes owed on either stream
Both pass efficiently to heirs

**Complex cases require more
than a carrier or IMO
relationship**



Risk Mitigation

Before the client sees the future, you must protect what they have already built.

Fiduciary Obligation: **Desire vs. Need**

Client Desire

Subjective

Based on how the client feels. Typically begins with saving taxes.

Fiduciary Need

Objective

Determined by the client profile. Anchored in Risk Mitigation.

Key Exposures to Protect Against

Untimely Death

Life Insurance
Solutions

Disability

Income
Protection

Business Risk

Continuity
Planning

From Tax Planning to Risk Mitigation

1

CIQ Discovery

Client desires identified through initial intake

2

ASM Transition

Scripted ERT framework guides the client deeper

3

CNQ Engagement

Algorithmic tool uncovers 50+ Risk Mitigation strategies

CNQ - Client Navigation Questionnaire

**Algorithmic
Engine**

**Builds on the
CIQ**

**Pre-Fill
Efficiency**

**Mass Affluent
Ready**

The CNQ

The tool that changes the client conversation

- Diagnostic tool we use to go deeper into the risk mitigation arm of the VFO.
- Advisors who see it in action consistently say “I have clients right now who need this.”
- Come by the Assurance Ally table for a preview.
- You’ll leave with a clearer picture of what’s possible in your existing book – today.

50+ Strategies. One Partner.



Charitable Planning



Regular Planning



Qualified Planning

Balloon CLAT	Bargain Sales	Charitable Gift Annuities	*Charitable Lead Trusts	Annuity Withdrawal	*Asset Protection
*Charitable Life Estate	*Charitable Remainder Trust	Leveraged Gifting Options	Donor Advised Fund	*Business Succession/ Transition/ Selling	*Buy-Sell Agreements
FLIPCRUT	IGNIT Plan(TM)	Private Foundations	*Corporate Recapitalization	*Crummey Powers	*Dynasty Trust
NIMCRUT	Preferred PIF(TM)	Family Limited Partnership	Family LLC	GDOT	*Irrevocable Life Insurance Trust
TCLAT	Young PIF	*Gifting	*Golden Handcuffs	Grantor Retained Annuity Trust	Life Settlements
Intentional Non-Grantor Trusts	Intra Family Loans	Jurisdictional Trusts	*Key Person Insurance	*Life Insurance	*Retirement Planning
Preferred LPs	*Premium Finance	*Private Business Insurance	QPRTs	Rent To Own	IRA Rollover/ Conversion Alternatives
Retirement Tax Mitigation	*Revocable Living Trusts, DPAs	Sale for Installment Note	SCIN	ESOP Planning	Qualified Business Income Deduction
*Self-Financed Insurance	*SLATs	*Succession Planning	Modern Qualified Plans	Overfunded Qualified Plans	Profit Sharing
Walton GRAT	*Deferred Compensation	ILIT	Pension Optimization Plan	Pension Rescue	

Two Ways to Work with Assurance Ally

Life Insurance | Disability | Long-Term Care

Option 1 - You Lead

We Power the Back Office

You Handle:

- Fact-finding, case design, application & delivery
- Client relationship and sales conversation

We Handle:

- Quotes, illustrations, underwriting & all back-office work

Option 2 - You Introduce

We Handle Everything Else

**No training. No sales conversations.
No additional workload.**

You introduce the client.

The Assurance Ally Advanced Case Design Team takes complete ownership of the case from that point forward.

THE ADVISOR SUCCESS MANAGER

Structured Coaching Built Around Your Goals

No other IMO offers this.

Weekly 1:1 sessions with ASM – Every session ends with a clear next step

Case Evaluation – Direct access to specialists when a case stalls.

Milestone tracking – Accountable to your goals and your ERT threshold.

Proactive Outreach – Go quiet? Your ASM reaches out within 7 days before momentum stalls.

Client Navigation Questionnaire (CNQ) – Your ASM helps you go through this with your clients to systematically uncover risk mitigation opportunities across your existing book.

Exclusive Offer for VFO Collective Attendees

LEVEL 5 MARKETING BONUS COMPENSATION

15-25% above Highest Street

On eligible life and annuity products from your first case through June 30, 2027

Open to first 25 Advisors

WHAT THIS MEANS FOR YOU

Start at the Top – Most advisors never reach Level 1. Level 5 requires \$500k in production. We're giving you that rate from Day 1.

Paid Monthly – The carrier pays you at Carrier Direct. Assurance Ally pays the Level 5 differential early the next month on every eligible case.

Plus ERT Reimbursement – This offer includes ERT membership fee reimbursement for Catalyst, Accelerator or Fusion Mastermind on top of Level 5 comp.
Takes you to 25-35% above Highest Street

Assurance Ally Marketing Bonuses

Carrier Direct	Level 1	Level 2	Level 3	Level 4	Level 5
100.00%	104.25%	108.50%	112.75%	117.00%	121.25%
110.00%	113.40%	116.80%	120.20%	123.60%	127.00%
115.00%	118.40%	121.80%	125.20%	128.60%	132.00%
110.00%	115.50%	121.00%	126.50%	132.00%	137.50%
100.00%	105.50%	111.00%	116.50%	122.00%	127.50%
95.00%	100.50%	106.00%	111.50%	117.00%	122.50%
90.00%	95.50%	101.00%	106.50%	112.00%	117.50%
100.00%	105.50%	111.00%	116.50%	122.00%	127.50%
95.00%	100.50%	106.00%	111.50%	117.00%	122.50%
90.00%	95.50%	101.00%	106.50%	112.00%	117.50%
130.00%	132.55%	135.10%	137.65%	140.20%	142.75%
110.00%	115.50%	121.00%	126.50%	132.00%	137.50%
100.00%	105.10%	110.20%	115.30%	120.40%	125.50%
110.00%	114.25%	118.50%	122.75%	127.00%	131.25%
120.00%	123.40%	126.80%	130.20%	133.60%	137.00%
110.00%	114.25%	118.50%	122.75%	127.00%	131.25%
100.00%	102.55%	105.10%	107.65%	110.20%	112.75%
100.00%	103.40%	106.80%	110.20%	113.60%	117.00%
75.00%	77.00%	79.00%	81.00%	83.00%	85.00%
90.00%	93.40%	96.80%	100.20%	103.60%	107.00%
97.50%	100.81%	104.12%	107.43%	110.74%	114.05%
107.50%	110.90%	114.30%	117.70%	121.10%	124.50%

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Takes you to 25-35% above Highest Street

The Compensation Advantage



**NET GAIN OF
WORKING WITH
ASSURANCE ALLY**

\$29,254
29.3% more comp!

Based on Level 5 Marketing Bonus (21.25%) applied to \$100,000 in annual commissions plus ERT Catalyst membership reimbursement at \$667/month (\$8,004/year). Results may vary by production level and ERT tier selected.

TRADITIONAL IMO

Annual Commissions \$100,000

Contract Rate 100%

Marketing Bonus Rate 0.00%

Marketing Bonus (\$) —

ERT Annual Reimbursement —

Total Effective Rate 100.00%

Total Annual Compensation \$100,000

ASSURANCE ALLY

Annual Commissions \$100,000

Contract Rate 100%

Marketing Bonus Rate 21.25%

Marketing Bonus (\$) + \$21,250

ERT Annual Reimbursement + \$8,004

Total Effective Rate 129.25%

\$129,254

Let's Talk



Level 5 Marketing Bonus – Qualification Requirements

1

Attend the VFO Collective

You must be present at the VFO Collective in June 2026.

2

Schedule a Conversation

You must schedule a meeting on the calendar with Assurance Ally at the event.

3

Complete SureLC

SureLC profile must be completed through Assurance Ally by August 1, 2026.

4

Submit Two Cases

A minimum of two cases per month and must be paid or pending starting Sept 1, 2026.

5

Offer Expires June 30, 2027

Level 5 Marketing Bonus applies to all eligible production through June 30, 2027.

Let's Talk

